



Karnataka Export Chronicle

QUARTERLY NEWSLETTER ▶

JULY TO SEPTEMBER 2025

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Perspective



B.K. Shivakumar
Director (Exports) &
Managing Director

An exuberant first quarter of sorts indeed as we logged into yet another financial year! While India's total exports (Merchandise and Services combined) registered a 5.14% growth in the first quarter of 2025-26 over the same quarter of the previous year, Karnataka had reasons to cheer!

The State's export performance aligned positively with the overall National growth trend and surpassed the All India figure with growth in exports up by 12.49% over Quarter 1 of the previous financial year! While growth in merchandise exports was 1.59% over a similar quarter of the previous year, services exports recorded 9.54% growth, sustaining its buoyant trend. Engineering, Iron Ore and Minerals, Spices, Semiconductors, Agriculture and Aerospace, were among the Star Performers from the State. Top district performers from the State included Bengaluru Urban, Kolar, Dakshina Kannada, Bengaluru Rural, Ramanagara, Mysuru, Kodagu and Ballari. The positive and buoyant trend has also been witnessed in the State's half yearly export performance in 2025-26 in comparison to a similar period of 2024-25, suggesting an overall growth of 11.77% in exports, with commodity exports registering a 26% and services exports logging in 9.10% growth performance.

It was an indelible moment for the State with its participation at the coveted World Expo 2025 held between 7th to 14th Sept'25, at Osaka, Japan. Hon'ble Minister for Large & Medium Industries led the delegation from the State, joined by Senior officials from the department. Karnataka showcased its prowess across various verticals and clinched critical deals with leading Japanese firms and inked significant MoUs on this occasion.

In the current edition of '**Karnataka Export Chronicle**', we present **Japan** as the 'Focus Country' and **Sea Food** (Fish Products and Frozen Shrimp) as the Focus Product for review. Learn more about the GI tagged crop in the agricultural segment namely a special variety of Chilli - '**Byadagi chilli**' and a successful farmer behind this crop.

With burgeoning trends in the realm of international trade and the immense potential the State offers in the exports landscape, '**Karnataka Export Chronicle**' aims to reach out to the vast array of stakeholders, potential and entrenched exporters. It would be a pleasure to hear from you on how we could work in collaboration towards further strengthening this happening exports space in the country.

1 All India Exports Performance: Q1 of FY 2025-26

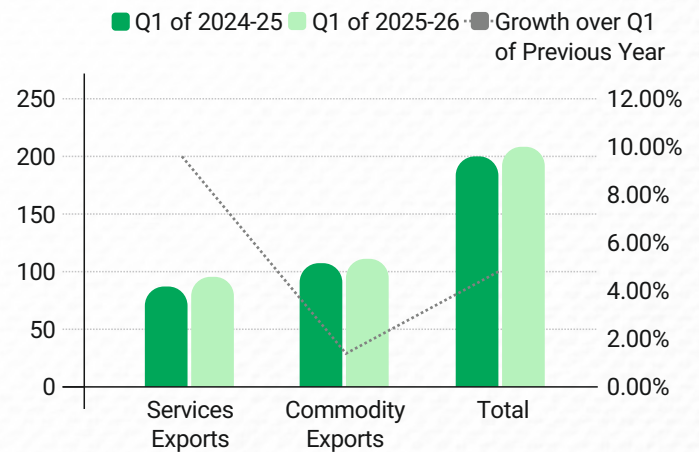
India's total Exports in the 1st Quarter of Financial Year 2025-26:

India's total exports (Merchandise and Services combined) reached a record US\$ 209.20 Billion, a 5.14% growth over same quarter of previous year.

Description	Q1 of 2024-25	Q1 of 2025-26	Growth over Q1 of Previous Year
Services Exports	88.91	97.4	9.54%
Commodity Exports	110.06	111.80	1.59%
Total	198.97	209.20	5.14%

Figures in US\$ BILLION

India's Total Exports in 1st Quarter of 2025-26



Karnataka's Export Performance: FY 2024-25:

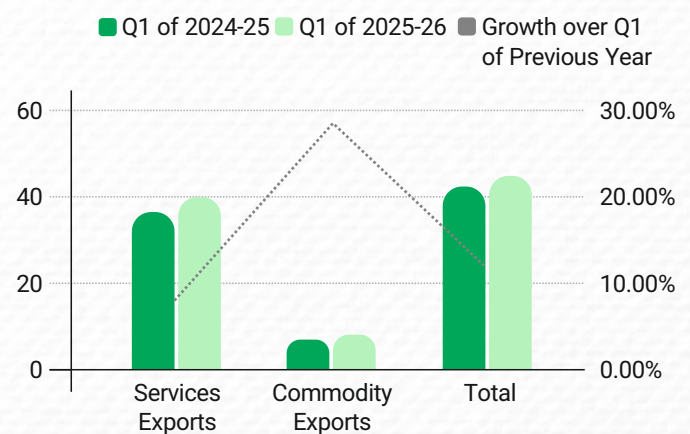
Karnataka's Overall Exports (Merchandise and Services) in Q1 of FY 2024-25 and Q1 of FY 2025-26

Description	Q1 of 2024-25	Q1 of 2025-26	Growth over Q1 of Previous Year
Services Exports	36.45	39.93	9.54%
Commodity Exports	7.43	9.43	26.97%
Total	43.88	49.37	12.49%

Figures in US\$ BILLION

Karnataka's export performance is part of the overall national trend, with a reported Exports of \$149.37 billion, suggesting an increase in Exports by 12.49% over Q1 of previous year's performance.

Karnataka's Overall Exports (Merchandise & Services) in Q1 of FY 2024-25 and Q1 of FY 2025-26



Karnataka States' Exports Performance: 1st Quarter of 2025-26:

Karnataka's Merchandise exports have shown upward trend during the 1st quarter (April 2025 to June 2025) as compared to the same period of 2024-25, recording growth in Merchandise Exports by 2.00 Bn USD, and Services Exports by 3.48 Bn USD. Karnataka has shown substantial growth to the

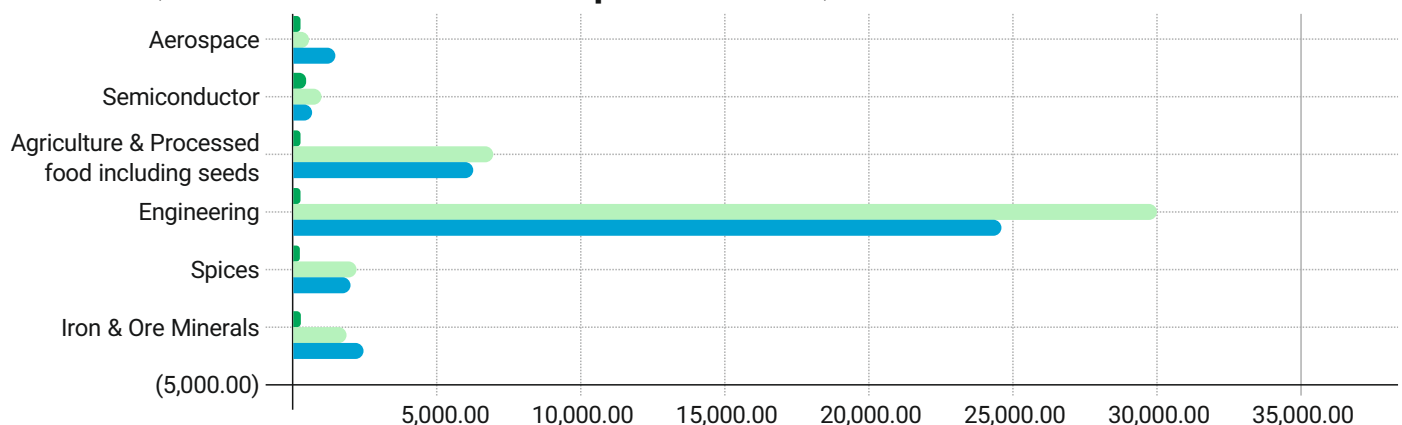
tune of 12.49% combined with Merchandise+Services Sector (Software and Services) as compared to the same period of Year 2024-25. Whereas All India growth is 5.49% over same period of the previous year. The sectors where the state excelled include Engineering, Iron Ore and Minerals, Spices, Semiconductors, Agriculture and Aerospace.

Karnataka's Export Performance: Q1 of FY 2025-26

Top Exported Commodities from Karnataka during April to June 2025, compared to the same period of previous year.

Commodity	All India			Karnataka		
	2024-25	2025-26	% growth	2024-25	2025-26	% growth
Iron Ore & Minerals	1,278.06	1,058.36	-17.19	44.02	128.47	191.83
Spices	1,089.32	1,154.05	5.94	33.80	57.03	68.70
Engineering	24,891.04	30,032.37	20.66	2,584.40	4,294.18	66.16
Agriculture & Processed Food including Seeds and Beverages	7,108.25	7,481.57	5.25	197.72	288.95	46.14
Semiconductor	494.24	598.10	21.01	4.09	5.62	37.30
Aerospace	1,437.56	382.20	-73.41	149.72	173.89	16.14

Exports (Merchandise+Services) of All India for the 1st Quarter of 2025-26 as compared to 1st Quarter of 2024-25



Exports (Merchandise+Services) from the State of Karnataka for the 1st Quarter of 2025-26 as compared to 1st Quarter of 2024-25

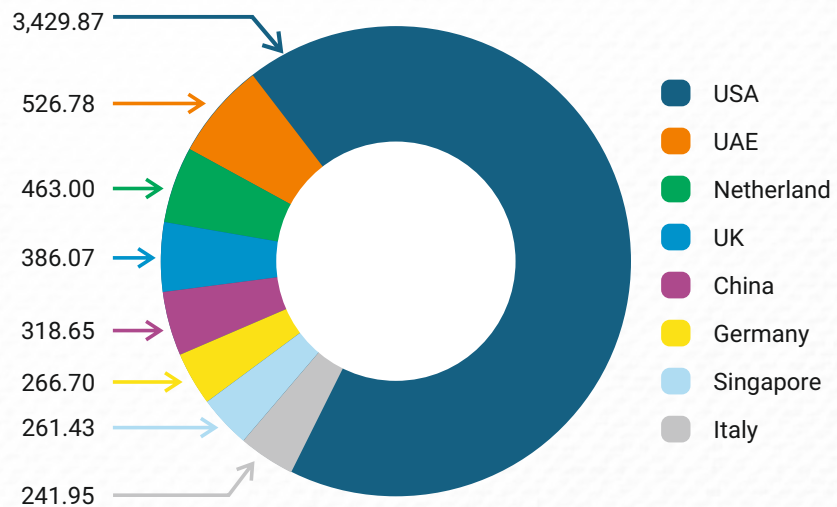


Karnataka's Export Performance: Q1 of FY 2025-26

Exports to Top Markets (April to June 2025)

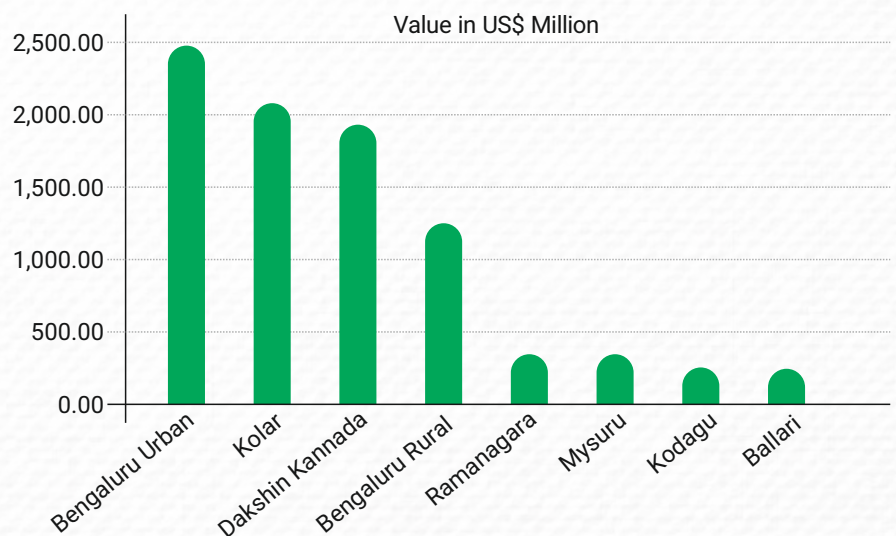
Country	Value (USMD)
USA	3,429.87
UAE	526.78
Netherlands	463.00
UK	386.07
China	318.65
Germany	266.70
Singapore	261.43
Italy	241.95

(Values in billion USD)



Export Performance of Eight top Districts of Karnataka

DISTRICT	VALUE (USMD)
Bengaluru Urban	2,477.24
Kolar	2,067.12
Dakshina Kannada	1,837.09
Bengaluru Rural	1,298.37
Ramanagara	254.88
Mysuru	252.86
Kodagu	219.54
Ballari	213.57



Export Growth Story: 2025-26 (April to June) as compared to 2024-25 (April to June)

A comparison of the export performance for the quarters of April 2025 to June 2025 versus the same period in the previous year (April 2024 to June 2024):

All India:

- Overall exports have registered 5.14% growth.
- Service Exports have shown 9.54% rise in exports.

Karnataka:

- Karnataka Merchandise Exports have shown a positive trend with an increase of 26.97% growth.
- Services Exports from Karnataka increased by 9.54%
- Overall growth in exports from the state of Karnataka is 12.49%
- Iron Ore and Minerals, Spices, Engineering Products,

Agricultural Products, Semiconductor and Aerospace products have shown positive trend in exports.

- A decline in exports has been observed in the case of Cashew, Wool & Woollen Products and Petroleum Products.
- An analysis of export performance from April to June 2025 reveals that twenty-five districts, and mainly 5 districts i.e., Kolar, Bengaluru Urban, Bengaluru Rural, Dakshina Kannada, Ramanagara districts have increased their exports substantially during Quarter One of FY 2025-26
- 5 districts namely Chikkamagaluru, Chitradurga, Chikkaballapura, Davangere, Uttara Kannada districts recorded decline in exports

All India Exports Performance: H1 of FY 2025-26

India's total Exports in the First Half of Financial Year 2025-26:

India's total exports (Merchandise and Services combined) reached a record US\$ 418.80 Billion, a 5.91% growth over same period of previous Financial Year.

Figures in US\$ BILLION

Description	H1 of 2024-25	H1 of 2025-26	Growth over H1 of Previous Year
Services Exports	182.41	199.01	9.10%
Commodity Exports	213.01	219.79	1.59%
Total	395.42	418.80	5.91%

Karnataka's Overall Exports (Merchandise and Services) in H1 of FY 2024-25 and H1 of FY 2025-26

Figures in US\$ BILLION

Description	H1 of 2024-25	H1 of 2025-26	Growth over H1 of Previous Year
Services Exports	74.79	81.59	9.10%
Commodity Exports	14.06	17.72	25.98%
Total	88.85	99.31	11.77%

2 Focus Country: Japan

- Karnataka, a prominent exporting state, caters to a diverse range of international markets, such as the United States of America, United Arab Emirates, Netherland, United Kingdom, China Peoples Republic, Germany, Singapore, Italy Belgium and Oman.
- India, ranking 25th among Japan's import sources, saw its exports to Japan increase by approximately 17.8% in 2024. This growth occurred within a year where Japan's total imports expanded by 7.91%, yet India's overall share constituted just 0.70% of these imports.
- Major commodities imported by the Japan over the past five years include Chemical and Allied Products, Mahcenary and Allied Products, Vehicles, Aircraft, Base Matel and articles, electronic goods, pharmaceutical products, aerospace components, iron ore, silk, coffee, and IT services.
- The positive response at the India Pavilion during the World Expo 2025 in Osaka is helping to build on this momentum. India is using the Expo to demonstrate its economic strength and attract investment by showcasing its achievements in technology, sustainability, and infrastructure through initiatives like "Make in India" and "Digital India"
- Karnataka's overall export performance saw a significant increase of 35 % in Q1 FY 2025-26 compared to Q1 FY 2024-25, rising from \$86.75 Million to \$117.20 million. This strong growth aligns with strengthening trade ties between India and Japan, indicating a positive outlook for Karnataka's exports to the country.
- Japan is the world's fourth largest economy, characterized by a developed, high-tech market economy focussed on manufacturing and services.
- Due to insufficient domestic natural resources, particularly fossil fuels and minerals, Japan is heavily reliant on imports for these resources and for its food supply.



Important Exports from India to other Countries

3 Focus Product: Sea Food (Fish Products & Frozen Shrimp)

FISH falling under HS Chapter 03, Fish and Crustaceans Molluscs, and other aquatic invertebrates like Live Fish, Ornamental fish, Frozen and other Shrimps and Prawns (030617).

- Frozen shrimp continued to be the leading contributor to India's seafood export basket, both in terms of quantity and value.
- The United States and China remained the largest importer of Indian seafood. Frozen shrimp constituted the majority of these imports. Other key export destinations markets for Indian seafood included the European Union, Southeast Asia, Japan and the Middle East.
- The year-over-year volume growth for overall shrimp exports in the first half of 2025 was less. But the value growth was significantly higher. This suggests an improved product mix and potentially higher average prices.
- India is currently facing challenges due to increased tariffs imposed by the US, potentially leading to a decline in shrimp exports to this key market in the latter



half of the fiscal year. India's position as a global leader in shrimp production and export remains strong.

- The focus on value-added products and exploring new markets could be crucial for the industry's continued success in the coming years.
- While overall exports are increasing, Japan's share in India's total marine products exports has seen fluctuations.
- Frozen shrimp consistently remains the primary marine product exported from India to Japan.
- India faces competition from other Asian countries like Thailand, Indonesia, Vietnam, and China in the Japanese market. These countries are often more competitive in terms of price and quality, including offering more value-added products.
- While Japan is a significant importer of Indian seafood, ranking largest destination. The USA and China are the largest overall importers of Indian frozen shrimp.
- Frozen Shrimp is India's Largest Export item under Sea Food or Fish Products Exports to Japan.



4 Key Exim Notifications

Notification No. 29/2025-26, September 8, 2025:

- An amendment to the export policy for certain animal by-products used in pet food, requiring new veterinary certifications).

Public Notice No. 22/2025, September 9, 2025 :

- Online correction facility for Duty-Free Import Authorizations (DFIAs) was introduced.

Public Notice No. 27/2025, August 22, 2025:

- Minimum Export Price on Exports of Honey revised from US\$ 2000 FOB to US\$ FOB1400.00 per Metric Tonn till 31st December 2025.



5 Key Initiatives/Meets



Government of Karnataka delegation led by Hon'ble Minister for Large & Medium Industries (LMI) and Infrastructure, along with Principal Secretary (C&I Dept.), Commissioner for Industrial Development, MD-VTPC and other senior officers from the Department of Industries & Commerce represented Karnataka at the World Expo 2025 held between 7th to 14th Sept'25, at Osaka, Japan. On the occasion, VTPC on behalf of the Dept. of Industries & Commerce, organised an exquisite display of the State's rich cultural and legacy products from Karnataka State Handicrafts Development Corporation Ltd. (KSHDCL) and Karnataka Soaps & Detergents Ltd. (KS & DL) in Osaka. Historic and landmark MoUs were inked besides joint ventures and collaborations explored and confirmed with leading industry players across verticals in Japan by the Government of Karnataka. Glimpses from the scintillating cultural potpourri reflecting the State's ethos, exquisite legacy craft exhibits, high powered meetings, buoyant footfalls to the pavilion and more!



Shri C.S. Babu Nagesh, Joint Director represented VTTC as Jury Member at the FKCCI Export Excellence Awards, 2nd Sept'25, Bengaluru.



Shri C.S. Babu Nagesh, Joint Director, represented VTTC and participated in the 2-day training on 'Right to Information', attended by senior officers from the Department of Industries & Commerce, held on 21st and 22nd July'25 at ATI Mysuru.



Shri C.S. Babu Nagesh, Joint Director, represented VTTC at the Telangana Exposure Visit to T Innovation Hub, organised by the Department of Industries & Commerce between 15th to 17th July'25 at Hyderabad.



Shri M.B Patil, Hon'ble Minister for Large & Medium Industries & Infrastructure chaired a Review Meeting of 'Kala Loka', on 8th July'25, at the Meeting Hall of IKF, Khanija Bhavan, Bengaluru. 'Kala Loka', a unique initiative by the Department of Industries & Commerce, aims to boost the rich cultural, legacy and GI tagged products of the State at Terminal 2 of Kempegowda International Airport, Bengaluru, housed by six government agencies namely Coffee Board, KSIC, KS&DL, KSHDCL, LIDKAR and KHDC.

Other Key Meetings

- **21st Aug'25:** 104th AGM and GC of VTPC, held at the Meeting Hall of the Directorate of Industries & Commerce, Khanija Bhavan, Bengaluru.
- **17th July'25:** Meeting of Dr. Neeraj Khanna, Chairman of Export Promotion Council for Handicrafts, along with Board of Directors, MD, VTPC with Chief Secretary Govt. of Karnataka, at Vikasa Soudha, Bengaluru.
- **9th July'25:** Preliminary Virtual meeting on boosting exports from Karnataka in association with FIEO, chaired by MD VTPC, with senior officials from FIEO team including Mr. Prashant Seth, Joint Deputy Director General, Ms. Soma Chaudhury, Karnataka Head, among others.

6 Capacity Building Programs (Exports)

Export Management Training Programs (EMTP)



131st EMTP, 18th to 23rd Aug'25, Training Hall, VTPC, Bengaluru.



EMTP, 28th July to 2nd Aug'25, Hubballi

Export Awareness Programs (EAP)



One Day Awareness program on Lean scheme, Zed and Exports, held on 25th Sept'25, organised by KASSIA, VTPC and DIC in Gadag.



One Day Awareness program on Lean scheme, Zed and Exports, held on 17th Sept'25, organised by KASSIA, VTPC and DIC, Dharwad in Dharwad.



One Day awareness program on ZED, LEAN scheme and exports, held on 30th Aug'25, organised by KASSIA, DIC Shivamogga and VTPC in Shivamogga.



One day awareness program on Lean, Zed and Exports held on 29th Aug'25 in Haveri, inaugurated by Dr. D Vijayamahantesh, DC, Haveri.



One Day program on Exports, ZED and LEAN, held on 29th July'25, inaugurated by Shri Sharanabasappa Darshanapur, Hon'ble SSI Minister & District-in-charge Minister, Yadgir.

7 Capacity Building Programs (Intellectual Property Rights)



Workshop on Demystifying IP: Principles, Practices & the Power of Protection, held on 10th July'25, in association with Cambridge Institute of Technology, Bengaluru.



Workshop on "Innovation in the new World order: A.I and Digital Transformation" held on 17th Sept'25, in association with Christ University, Bengaluru.



Regional Conference on "Emerging Trends in AI and Sustainability: Shaping the Future of Higher Education", held on 18th Sept'25, in association with St.Joseph's Institute of Management, Bengaluru.

Exporter Echoes

"This is Kartik S Pandurangi from the 125th batch of VTPC's Export Management Training Program (EMTP). Attending the program in December 2024 gave me deep insights into international trade, export documentation, and market opportunities. The structured training and constant guidance from the VTPC team have been instrumental in shaping my export journey and keeping me motivated to explore new markets. In July 2025, through MIIICIA, our company KP TradeLinX was represented at a B2B networking program in Medan, Indonesia. Though I could

not personally attend, our representative connected with several importers and buyers who expressed interest in sourcing natural food products from India in the future.

I sincerely thank the VTPC officials and mentors who were always approachable, supportive, and encouraging during and after the training. Their mentorship has given me the confidence and direction to build our brand Tapovana Naturals for international markets."

Kartik.S.Pandurangi
Founder - KP TradeLinX / Tapovana Naturals

8 GI Spotlight: Byadagi Chilli

Folk tales from the annals of history suggest that a very popular Red Chilli variety – Byadagi Chillies were being cultivated near Byadagi region in the Haveri district of Karnataka over 200 years ago. Backed by a rich agro commercial background, and the growing prominence of the special Red Chilli in the region, Byadagi has been recognised as a large chilli trading hub in the country. Byadagi Chilli is known for its deep red colour and was accorded the highest colour value of 1,50,000 to 2,50,000 C.U. Its distinctiveness lies in its low pungency, wrinkles on the pods and sweet flavour and is used in several food preparations in India. Of the several varieties, the two primary ones include the Byadagi Dabbi and Byadagi Kaddi with very minimal pungency. Other variants which are similar in their quality parameters like pungency and colour values are also grown in the region namely Noolvi Dabbi, Kubhsi Dabbi, Antur Bentur Dabbi. The GI mapped region in Haveri district of Karnataka is the only most conducive region for the growth of this unique chilli variety given its



tropical/sub-tropical climate, with annual rainfall of 500 to 800 mm, temperature of 20 to 38°C, well drained loamy soils, with warm humid conditions and very minimal usage of pesticides.

9 GI Artisan Corner

Introducing Shri Mallappa Basappa Gopali, a seasoned Byadagi Chilli farmer from Kadapatti, Halyal. With a robust family history, he has seamlessly continued the agricultural practices handed down from his ancestors, including the cultivation of chillies, especially the Byadagi variety as a major, commercial crop. He recalls a phrase passed down from the elders namely, “Higher knowledge is better than academic knowledge” and that the cultivation of Byadagi Chilli started from his paternal grandfather and great-grandfather who embarked on this occupation as a commercial crop around 50 years ago. Mallappa shares that cultivation of Byadagi Chilli helped in inter-cropping as well. As an example, he explains, crops like BT cotton and onions can be grown alongside, which increases soil fertility. Citing an exciting experience with this crop in the year 2023-2024, Mallappa recalls that when he harvested 8 quintals per acre, with the price of Rs. 50,000 per quintal, it yielded good profits and as a farmer, it was a momentous occasion and a feeling of accomplishment. Also on a positive note, he feels that ever since he took to this profession, agriculture in his region has developed significantly, with increasing yields at low cost every year, making his occupation truly profitable.

However, it was during Covid-19 that he encountered challenges like acute labour shortage impeding growth, lack of efficient transport facilities, absence of organised markets and lack of proper system among middlemen. However he strongly feels that there is lot of potential for

value addition to Byadagi Chilli based products like for instance oil extraction from the crop.

Mallappa believes that a few key initiatives from the government will go a long way in the development of this crop for the benefit of farmers. Declaring a better support price for the crop every year for instance could attract more farmers, benefitting the country at large and the export sector in particular.

Further, he suggests provision of transportation facilities at the village level and financial support for building cold storage units for farmers when market prices are low for the sale and storage of the crop.



He currently caters to the domestic market, however in the future, he is interested in exploring export markets as well. He strongly believes that the younger generation should be motivated to contribute to this unique crop; besides he feels there is a need for more information, awareness generation and promotion regarding GI tag products and hence suggests that awareness programs on GI tags be organised at the gram panchayat level for the benefit of the rural people. ‘Karnataka Export Chronicle’ wishes him a fruitful journey and more milestones in the days ahead.



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